BRISTOL WATER PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 MARCH 2026

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Registered Number: 02662226

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STRATEGIC REPORT

BUSINESS REVIEW

The Company has no operating activities and the only transactions recognised in the income statement relate to the remaining preference shares, debentures and the pension asset held by the company. The remaining obligations relating to these instruments are fully supported by interest bearing loans receivable from South West Water Limited ("SWW"), the Company's parent company, a direct subsidiary of Pennon Group plc, the ultimate parent company.

Financial performance summary and Key Performance Indicators (KPIs)

	2025/26	2024/25
Profit/(loss) before tax	**£0.6m**	£(0.2)m
Earnings per share		
Statutory profit/(loss) per share	**1.67p**	(6.67p)

Dividends
Annual dividends of £1.1m (2024/25: £1.1m) continued to be paid on the irredeemable preference shares. The irredeemable preference shares are shown as debt in the balance sheet, and the dividend is therefore shown as a finance cost in the income statement.

Pensions
Pension arrangements for employees were historically provided partly through our membership in the Water Companies' Pension Scheme ("WCPS"), which provides defined benefits based on final pensionable pay.
The Company's membership of WCPS is through a separate section of the scheme.

In 2018/19, a buy-in of the Company's section was undertaken, and as a result the scheme assets were replaced with an insurance policy which matched the pension scheme's liabilities. The planned buy-out of the Company's section was completed on 11 July 2025 and the process to wind up the scheme continues. The section's assets and liabilities were remeasured prior to settlement using actuarial assumptions at this date. As the Trustees had previously insured the benefits through a bulk annuity policy, there was a £nil income statement settlement charge following the buyout.

The actuarial valuation under International Accounting Standard 19 (IAS 19), at 31 March 2026 shows a net pension surplus of £11.4m which has been recognised in the financial statements (2024/25 £9.2m). The pension asset is shown net of a 25% refund tax rate (2024/25: 25%) which will be applicable when the funds are repaid to Bristol Water from the pension scheme.

Further financial information in relation to the defined benefit pension scheme is disclosed in note 10 to the financial statements.

Principal Risks and Uncertainties
The Company is wholly reliant on interest receipts from SWW to meet its external borrowing obligations. The treasury operations of South West Water Group are managed by the Pennon Group plc treasury function. The Company does not engage in speculative activity.

The principal risk for the Company is that SWW does not meet its obligations in respect of its borrowings. A review of the principal risks and uncertainties of SWW which could result in its inability to meet those obligations has been undertaken.

The categories of principal risks as outlined in SWW's annual report and accounts for the year ended 31 March 2026 are as follows:

- Law regulation and finance

- Market and economic conditions
- Operating performance; and
- Business systems and capital investment.

The Directors note significant risks in relation to:

- Changes in Government policy
- Changes in regulatory frameworks and requirements
- Failure to improve wastewater performance resulting in environmental commitments not being delivered
- Inadequate technological security results in a breach of the Company's assets, systems and data.

The Directors do not believe these risks will affect SWWs ability to settle capital and interest obligations when due.

The directors have also considered the impact of climate change on SWW to assess whether there is a significant risk to the going concern status of the business as a result. The Directors have also had access to South West Water's Limited internal financial viability assessment that covers a period from the balance sheet date to 2030 and are satisfied there is not a significant risk to the Company's going concern status to [XX] 2026 or its long term viability.

Section 172 Companies Act 2006 Statement

The Directors of Bristol Water acknowledge and understand their duties under section 172 of the Companies Act 2006 (s.172), to act in a way that they consider, in good faith, would be most likely to promote the success of the Company for the benefit of members as a whole, and in doing so, must have regard to a range of broader issues. Therefore, when the Board makes a decision, the directors always take full account of the following:

- The long-term consequences of our decisions
- The interests of our employees
- The importance of having excellent business relationships with suppliers, customers and anyone else who we impact
- The impacts of our operations have on our communities and our environment
- Ensuring we maintain our reputation for the highest standards of business conduct
- We will always act fairly between our shareholders

The Company has no employees or customers with a single shareholder, SWW. Stakeholders include the holders of the debentures and the preference shares. The Company operates within the governance structure of the parent company, SWW, as well as the wider Pennon Group. Details of the governance of SWW can be found within its annual report at https://www.southwestwater.co.uk/about-us/performance/how-we-are-performing.

Taskforce for Climate Related Financial Disclosures ("TCFD")
As part of the Pennon Group the Company's TCFD reporting is included within the Pennon Group plc Annual Report 2026 which can be found on their website (www.pennon-group.co.uk/investor-information/five-year-financial-summary). As the Company has ceased operational trading, TCFD reporting is not reported separately in the Company's strategic report and any current and future impacts as set out in the Pennon Group plc Annual Report have limited to no direct impact on the Company.

Key Performance Indicators ("KPIs")
The KPIs are considered in the Strategic Report above.

This strategic report was approved by the Board on 23 July 2026.

On behalf of the Board

L Flowerdew

L Flowerdew
Director
23 July 2026

DIRECTORS' REPORT

The Directors present their report and the audited financial statements for the year ended 31 March 2026.

The directors who served on the Board during the period, and up to the date of signing the financial statements were:

L Flowerdew
K Haslett (appointed 19 May 2026)
S Davy (resigned on 31 December 2025)

Financial results and dividends
The financial review including financial results and dividends is contained in the Strategic Report on pages 3 to 4.

There was no dividend paid on ordinary shares during the year ended 31 March 2026 (31 March 2025: £nil). The Board has not proposed a final dividend in respect of the financial year 2025/26 (2024/25: £nil).

Capital structure
Details of the issued share capital are shown in note 15. The Company has one class of ordinary shares, which carry no right to fixed income. Each ordinary share carries the right to one vote at general meetings of the Company.

There are no specific restrictions on the size of a holding or on the transfer of shares, which are both governed by the general provisions of the Articles of Association and prevailing legislation. The Directors are not aware of any agreements between indirect holders of the Company's shares that may result in restrictions on the transfer of securities or on voting rights. No person has any special rights of control over the Company's share capital and all issued shares are fully paid. The Articles of Association themselves may be amended by special resolution of the shareholders.

Under its Articles of Association and the Companies Act, the Company has in issue 5,998,025 ordinary shares as disclosed in note 15. All the ordinary shares are owned by South West Water Limited. In addition, the Company has in issue 12,500,000 8.75% irredeemable cumulative preference shares of £1 each, details of which are disclosed in note 15.

Outlook
The Company's principal assets and liabilities consist of preference shares, debt and the pension surplus remaining in the Company. Any commitments under these instruments are fully supported by interest bearing loans receivable from SWW, as a result the Company is expected to operate close to break-even going forward.

Going Concern
In assessing the going concern basis, the Directors have considered the cash flow projections of the Company for 12 months from the date of approval of the Annual Report and Financial Statements. As noted above the Company has no operating activities with principally residual preference shares, debt and the pension surplus remaining in the Company. The commitments under these instruments are fully supported by interest bearing loans receivable from SWW, as a result the Company is expected to be profit and cash neutral going forward.

The Company has a strong balance sheet position with net assets of £25.1m (2024/25: £23.0m) which includes £26.6m (2024/25 £26.6m) of receivables due from the parent company SWW.

The key risk to the Company in relation to the parent company funding commitment is set out in the Strategic Report (see page 3).

The Company has received confirmation from Pennon Group plc that it will provide support to the Company, should it be required, to meet its liabilities as they fall due for the period from approval of the 2025 financial statements through to 23 July 2027.

As a result, the Directors report that, after making enquiries, they have concluded that the Company has adequate resources or the reasonable expectation of raising further resources as required to continue in operation for the 12 months following signing of the report. Accordingly, they continue to adopt the going concern basis in preparing the Financial Statements.

DIRECTORS' REPORT (continued)

Financial Risk Management
Details of financial risks faced by the Company and the related mitigating factors are included in note 17 to the financial statements.

Other interests
At no time during the year has any Director had a material interest in any contract of significance with the Company.

Ultimate Parent Company and Controlling Party
The details of ultimate parent company and controlling party, and the smallest and largest group in which this Company is consolidated, are provided in note 20 to the financial statements.

Research and Development
The Company does not undertake research and development projects in relation to its business.

Financial Instruments
The details of the financial instruments are provided in note 16 to the financial statements.

Directors' Qualifying Third Party Indemnity Provisions
During the year, and to the date of approval of the financial statements, the Company had in force a qualifying third party indemnity provision in favour of all Directors of the Company against any liability which may arise in respect of their current or past duties as Director of the Company or its holding companies, subject to the conditions set out in the Companies Act 2006.

Auditors and Disclosure of Information to Auditors
Each of the persons who is a Director at the date of approval of this report confirms that:

- so far as the Director is aware, there is no relevant audit information of which the Company's auditors are unaware; and
- the Director has taken all the steps that they ought to have taken as a Director in order to make themself aware of any relevant audit information and to establish that the Company's auditors are aware of that information.

This confirmation is given and should be interpreted in accordance with the provisions of s418 of the Companies Act 2006.

Auditors
The external auditors for the 2025/26 financial year end audit was Gravita Audit II Limited. The independent auditors' report starting on page [22] sets out the information contained in the Annual Report which has been audited by the external auditor. The Audit Committee of the parent company, Pennon Group plc, considered the performance and audit fees of the external auditor.

The independent auditor, Gravita Audit II Limited, will be proposed for reappointment in accordance with section 485 of the Companies Act 2006.

Political donations
Bristol Water's policy is not to make any donations for political purposes in the UK or to donate to EU political parties. Accordingly, for the financial year under review, no political donations were made.

DIRECTORS' REPORT (continued)

Greenhouse Gas Emissions
As part of the Pennon Group, Bristol Water's Streamlined Energy and Carbon Reporting (SECR) is included within the Pennon Group Report. The Company has taken advantage of the exemption offered under the Companies Act 2006 and has not reported details of Greenhouse gas emissions during the financial year.

Disclosures required under Listing Rule 6.6.1R
The information required to be disclosed by Listing Rule 6.6.1R can be found throughout the financial statements.

There are no other disclosures to be made under Listing Rule 6.6.1.

The statement of the Directors in respect of the Annual Report, and the statement of Directors' responsibilities are contained within the Directors' Report on page 10.

Corporate Governance Statement

The parent company, SWW, has a well-established internal control framework which is operated and applied in relation to the process for preparing the Company's financial statements and annual report. The framework incorporates activities and required reporting associated with Bristol Water plc. The internal control framework is discussed in the SWW annual report which does not form part of this report.

Diversity and inclusion is a top priority for Pennon Group plc and is considered at a group level with women representing 50% of the Pennon Group plc Board as at 31 March 2026.

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law the Directors have prepared the Company financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (reflecting United Kingdom Accounting Standards and applicable law). Under company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements respectively; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The Directors are responsible for the maintenance and integrity of the Company's website. Legislation in the United Kingdom governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

The Directors consider that the annual report and accounts, taken as a whole, is fair, balanced and understandable and provides the information necessary for shareholders to assess the Company's performance, business model and strategy.

Each of the Directors, whose names are listed on page 6, confirm that, to the best of their knowledge:

- the financial statements, which have been prepared in conformity with Financial Reporting Standard 101, give a true and fair view of the assets, liabilities, financial position and loss of the Company; and

- the Strategic Report contained in the Annual Report includes a fair review of the development and performance of the business and the position of the Company, together with a description of the principal risks and uncertainties that it faces.

The Directors' Report consisting pages 6-9 was approved by the Board on 23 July 2026

On behalf of the Board:

L Flowerdew
Director

INCOME STATEMENT

for the year ended 31 March 2026

	Notes	2026 £m	2025 £m
Operating costs	5	(0.7)	(1.2)
Total net operating costs		(0.7)	(1.2)
Operating profit(loss)		(0.7)	(1.2)
Interest payable and similar charges	6	(1.1)	(1.1)
Interest receivable and similar income	6	2.4	2.1
Total net interest receivable and similar income	6	1.3	1.0
Profit/(loss) before tax		0.6	(0.2)
Taxation on profit/(loss) on ordinary activities	7	(0.5)	(0.2)
Profit/(loss) for the financial year		0.1	(0.4)
Profit/(loss) per ordinary share	8	1.67p	(6.67)p

STATEMENT OF COMPREHENSIVE INCOME

for the year ended 31 March 2026

	Notes	2026 £m	2025 £m
Profit/(loss) for the financial year		0.1	(0.4)
Other comprehensive income:			
Items that will not be reclassified to profit and loss			
Actuarial gain on retirement benefit surplus	10	2.7	0.1
Remeasurement of defined benefit pension scheme restriction	10	(0.7)	0.1
Other comprehensive income for the year, net of tax		2.0	0.2
Total comprehensive profit/(loss) for the year		2.1	(0.2)

STATEMENT OF FINANCIAL POSITION

at 31 March 2026

	Notes	2026 £m	2025 £m
Non-current assets			
Other receivables	9	**26.6**	26.6
		26.6	26.6
Current assets			
Retirement benefit surplus	10	**11.4**	9.2
Other receivables	11	**-**	0.8
Current tax asset		**-**	0.3
Cash and cash equivalents	12	**1.7**	0.3
		13.1	10.6
Total assets		**39.7**	37.2
Non-current liabilities			
Borrowings	13	**(1.6)**	(1.6)
8.75% irredeemable cumulative preference shares	13,15	**(12.5)**	(12.5)
		(14.1)	(14.1)
Current liabilities			
Trade and other payables	14	**(0.1)**	(0.1)
Current tax liabilities		**(0.4)**	-
		(0.5)	(0.1)
Total liabilities		**(14.6)**	(14.2)
Net assets		**25.1**	23.0
Equity			
Called-up share capital	15	**6.0**	6.0
Share premium account		**4.4**	4.4
Capital redemption reserve		**5.8**	5.8
Retained earnings		**8.9**	6.8
Total Equity		**25.1**	23.0

The financial statements of Bristol Water plc, registered number 02662226 on pages 11 to 24 approved by the Board of Directors on 23 July 2026 and signed on its behalf by:

L Flowerdew

L Flowerdew
Director

STATEMENT OF CHANGES IN EQUITY

For the year ended 31 March 2026

	Called up share capital	Share premium account	Capital redemption reserve	Retained earnings	Total
	£m	£m	£m	£m	£m
Balance at 1 April 2024	6.0	4.4	5.8	7.0	23.2
Loss for the year	-	-	-	(0.4)	(0.4)
Other comprehensive income for the year:					
Remeasurement of defined benefit pension scheme	-	-	-	0.2	0.2
Total comprehensive loss for the year	-	-	-	(0.2)	(0.2)
Balance as at 31 March 2025	6.0	4.4	5.8	6.8	23.0
Balance as at 1 April 2025	6.0	4.4	5.8	6.8	23.0
Profit for the year	-	-	-	0.1	0.1
Other comprehensive income for the year:					
Remeasurement of defined benefit pension scheme	-	-	-	2.0	2.0
Total comprehensive profit for the year	-	-	-	2.1	2.1
Balance as at 31 March 2026	6.0	4.4	5.8	8.9	25.1

The Board has not proposed a final dividend in respect of the financial year 2025/26 (2024/25: £nil).

NOTES TO THE FINANCIAL STATEMENTS

1 General information

Bristol Water plc ("the Company") is a public company, limited by shares, with irredeemable preference shares and debenture stock listed on the London Stock Exchange.

The Company is incorporated and domiciled in England, United Kingdom. The address of its registered office is Bridgwater Road, Bristol, BS13 7AT, England.

2 Basis of preparation

The financial statements of the Company are prepared on a historical cost basis, and in accordance with Financial Reporting Standard 101, 'Reduced Disclosure Framework - Disclosure exemptions from adopted IFRS for qualifying entities' ("FRS 101") and with the provisions of the Companies Act 2006. These financial statements are presented in pounds sterling and all values rounded to the nearest one-hundred thousand pounds, except when otherwise indicated.

The preparation of financial statements in conformity with FRS 101 requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Company's accounting policies. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in note 4.

In preparing the financial statements management has considered the impact of climate change. As part of the Pennon Group, Bristol Water TCFD reporting is included within the Pennon Group plc Annual Report and is not reported separately in the Bristol Water PLC annual report. As the Company has ceased operational trading the current and future impacts as set out in the Pennon Group plc Annual Report have limited to no direct impact on the Company.

The following exemptions from the requirements of IFRS have been applied in the preparation of these financial statements, in accordance with FRS 101:

- Requirements of IFRS 13 'Fair value measurement' (disclosure of fair value techniques and inputs).
- Paragraph 38 of IAS 1, 'Presentation of financial statements' comparative information requirements in respect of:
  (i) paragraph 79(a)(iv) of IAS 1;
- The following paragraphs of IAS 1, 'Presentation of financial statements':
  - 10(d) statement of cash flows;
  - 10(f) (a statement of financial position as at the beginning of the preceding period when an entity applies an accounting policy retrospectively or makes a retrospective restatement of items in its financial statements or when it reclassifies items in its financial statements);
  - 16 (statement of compliance with all IFRS);
  - 38B-D (additional comparative information);
  - 111 (statement of cash flows information); and
  - 134-136 (capital management disclosures).
- Paragraph 30 and 31 of IAS 8 'Accounting policies, changes in accounting estimates and errors' (requirement for the disclosure of information when an entity has not applied a new IFRS that has been issued but is not effective).
- Paragraph 17 of IAS 24, 'Related party disclosures' (key management compensation).
- The requirements in IAS 24, 'Related party disclosures' to disclose related party transactions entered into between two or more members of a group.

Going concern

The Company's remaining obligations will be met from matching intra-group contracted assets and related receipts. The Company has received confirmation from Pennon Group plc that it will provide support to the Company should it be required, to meet its liabilities as they fall due for the period which covers the period from approval of the 2026 financial statements through to 23 July 2027. The Company therefore continues to adopt the going concern basis in preparing its financial statements. Further information on the Company's borrowings is given in note 13.

3 Summary of significant accounting policies

The following are the significant accounting policies applied by the Company in preparing these financial statements. These policies have been consistently applied to all years presented, unless otherwise stated:

3.1 Distributions to shareholders

Dividends and other distributions to shareholders are reflected in financial statements when approved by shareholders in a general meeting, except for interim dividends which are included in financial statements when paid by the Company. Accordingly, proposed dividends are not included as a liability in the financial statements.

3.2 Taxation

The tax charge for the year comprises current tax. Tax is recognised in the income statement, except to the extent that it relates to items recognised in the statement of comprehensive income or directly in equity. In this case the tax is also recognised in the statement of comprehensive income or directly in equity as appropriate.

Current tax is calculated on the basis of tax laws enacted or substantively enacted at the balance sheet date. Management periodically evaluates tax items subject to interpretation and establishes provisions on individual tax items, where in the judgement of management, the position is uncertain. The Company is part of the Pennon Group for tax purposes and accordingly may use the tax group relief provisions whereby current tax liabilities can be offset by current tax losses arising in other Group companies.

3.3 Pension costs

Defined benefit pension arrangements were provided through the Company's membership of the Water Companies' Pension Scheme ("WCPS") via a separate section. This scheme was bought out on 11 July 2026.

In the prior year and up until 11 July 2026 the defined benefit scheme liabilities were measured by an independent actuary using the projected unit method and discounted at the current rate of return on high quality corporate bonds of equivalent term and currency to the liability.

Scheme running costs are charged to operating profit. Past service costs arising on a plan settlement, or a curtailment are included immediately within operating costs.

The amount charged or credited to finance costs is a net interest amount calculated by applying the liability discount rate to the net defined benefit liability or asset.

Actuarial gains and losses arising from experience adjustments, changes in actuarial assumptions and amendments to pension plans are immediately recognised in the period in which they occur in other comprehensive income.

3.4 Other receivables

Other receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method less loss allowance.

3.5 Cash and cash equivalents

Cash and cash equivalents in the Statement of Financial Position comprise cash at bank.

For the purpose of the Cash Flow Statement, cash and cash equivalents consist of cash, net of outstanding bank overdrafts.

3.6 Financial instruments

Borrowings are recognised initially at fair value, net of transaction costs incurred. Borrowings are subsequently carried at amortised cost.

3.7 Trade and other payables

Creditors are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method.

4 Critical accounting estimates and judgments

The Company makes estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, seldom equal the related actual results. Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are addressed below.

Defined benefit pension scheme (estimate)

The present value of the defined benefit scheme obligation depends on a number of factors, including: life expectancy; asset valuations and the discount rate on corporate bonds. Management estimates these factors and receives advice from the pension scheme administrators in determining the net pension obligation in the balance sheet. The assumptions reflect historical experience and current trends. In July 2026 the scheme was bought out and accordingly from that date the present value of the defined benefit scheme obligation was £nil.

The remaining surplus on the scheme is only available to the Company as refund. Under current UK tax legislation a refund tax deduction of 25% is applied to a refund from a UK pension scheme, before it is passed to the employer, which is shown as a restriction to the value of the net pension scheme asset.

See note 10 for the disclosures of the defined benefit pension scheme.

5 OPERATING COSTS

(a) Operating costs include:

	2026 £m	2025 £m
Other charges less recoveries	**0.7**	1.2
Total operating costs	**0.7**	1.2

The company has no employees (2025: nil).

None of the directors received any additional remuneration or benefits for their services to this Company and therefore the directors' emoluments were £nil (2025: £nil).

(b) Independent auditors' remuneration

During the year the Company obtained the following services from the Company's auditors:

	2026 £m	2025 £m
Fees payable for the audit of the Company's annual statutory financial statement	**0.1**	0.1

6 NET INTEREST RECEIVABLE AND SIMILAR INCOME

	2026 £m	2025 £m
Interest receivable and similar income relate to:		
Interest income in respect of retirement benefit scheme (note 10)	**0.8**	0.6
Interest income on intercompany loans	**1.6**	1.5
	2.4	2.1
Less interest payable and similar charges:		
Dividends on 8.75% irredeemable cumulative preference shares	**(1.1)**	(1.1)
	(1.1)	(1.1)
Total net interest receivable and similar income	**1.3**	1.0

Dividends on the 8.75% irredeemable cumulative preference shares are payable at a fixed rate of 4.375% on 1 April and 1 October each year. Payment by the Company to the share registrars is made two business days earlier. The payments are classified as interest in accordance with IFRS 9.

7 TAXATION

	2026	2025
	£m	£m
Tax expense included in Income Statement		
Current tax:		
Corporation tax on profits for the year	**0.5**	0.2
Total current tax	**0.5**	0.2
Tax expense on profit/loss	**0.5**	0.2

UK corporation tax is calculated at 25% (2024/25:25%) of the estimated assessable profit for the year.

Reconciliation of the tax on profit on ordinary activities

The tax charge for the year differs from the theoretical amount which would arise using the standard rate of corporation tax in the UK of 25% (2024/25: 25%), as follows:

	2026	2025
	£m	£m
Profit/(loss) before tax	**0.6**	(0.2)
At statutory income tax rate of 25% (2024/25: 25%)	**-**	-
Non-deductible expenses for tax purposes:		
8.75% irredeemable cumulative preference share	**0.5**	0.2
Total taxation expense included in income statement	**0.5**	0.2

On 20 June 2023, Finance (No.2) Act 2023 was substantively enacted in the UK, introducing the Pillar Two global minimum effective tax rate of 15%. The legislation implements a domestic top-up tax and a multinational top-up tax, effective for accounting periods starting on or after 31 December 2023.

Under the legislation, the company is part of a group that will be required to pay, in the UK, top-up tax on profits that are taxed at a Pillar Two effective tax rate of less than 15%. This is the second accounting period where the Group is within scope of the Pillar Two rules.

The UK is the only jurisdiction in which the Group operates therefore an assessment of any potential Pillar Two tax exposure for FY26 has been performed focusing solely on the application of the UK domestic top-up tax rules.

The assessment performed by the Group is based on country-by-country reporting principles and financial statements information for FY26. Based on that information, the UK is expected to meet the conditions of the transitional safe harbours such that no top-up tax arises. The Group is continuing to assess the impact of the Pillar Two income taxes legislation and related updates on its future financial performance.

8 PROFIT PER ORDINARY SHARE

	2026	2025
	m	m
Basic profit /(loss) per ordinary share have been calculated as follows:		
Profit/(loss) attributable to ordinary shares	**£0.1**	£(0.4)
Weighted average number of ordinary shares	**6.0**	6.0
	1.67p	(6.67p)

As the Company has no obligation to issue further shares, disclosure of earnings per share on a fully diluted basis is not relevant.

9 OTHER RECEIVABLES

Other receivables comprise loan notes issued to the Company on 1 February 2023 by SWW.

	Fixed interest rate	Principal outstanding	
		2026	2025
£25,000,000 fixed rate loan note	6%	**25.0**	25.0
£1,405,218 fixed rate loan note	4%	**1.4**	1.4
£72,900 fixed rate loan note	3.5%	**0.1**	0.1
£54,875 fixed rate loan note	4%	**0.1**	0.1
£36,740 fixed rate loan note	4.25%	**-**	-
		26.6	26.6

The amounts included above relate to loan notes issued on 1 February 2023 by SWW to the Company. The loan notes reflect the external borrowings held by the Company and as such any maturity dates are linked to the maturity of these external borrowings. All loan notes are unsecured. No expected credit loss provision has been recognised in respect of amounts owed by group undertakings.

10 RETIREMENT BENEFIT SURPLUS

Defined benefit scheme

Pension arrangements for employees were historically provided partly through our membership in the Water Companies' Pension Scheme ("WCPS"), which provides defined benefits based on final pensionable pay. The Company has a separate section within the WCPS.

The gross pension surplus of £15.2m at 31 March 2026 (31 March 2025 £12.3m) relates to the market value of assets still held by the scheme other than the annuity policy/insurance asset.

The planned buy-out of the Company's section was completed on 11 July 2025. The section's assets and liabilities were remeasured prior to settlement using actuarial assumptions at this date. The assets and liabilities were both reduced by £92.8 million resulting in a net £nil income statement settlement charge. An actuarial gain of £2.7 million was recognised in other comprehensive income for the period 1 April 2025 to 11 Jul 2025.

Risks of the scheme

The value of the pension scheme surplus has been restricted by refund tax of 25% (2025: 25%) under UK tax legislation. An increase in the refund tax rate will reduce the net pension scheme surplus.

Basis of valuation

The formal actuarial valuation of the Company's section of the WCPS as at 31 March 2017 was updated to 31 March 2026, by LCP, using the following major assumptions in accordance with IAS 19 'Employee Benefits':

Assumptions:	2026	2025
RPI Inflation	**3.0%**	3.1%
CPI Inflation	**2.4%**	2.5%
Discount rate	**5.6%**	5.8%

Assumptions regarding future mortality were set based on actuarial advice in accordance with published statistics and experience in the UK. These assumptions translated into the following average life expectancies in years:

	2026	2025
Life expectancy at age 60 at the balance sheet date		
- Men	**-**	26.8
- Women	**-**	29.3
Life expectancy at age 60, 25 years from balance sheet date		
- Men	**-**	29.3
- Women	**-**	31.2

10 RETIREMENT BENEFIT SURPLUS (continued)

Reconciliation of scheme assets and liabilities:

	Assets £m	Liabilities £m	Total £m
Pension scheme surplus at 1 April 2024	120.4	(107.7)	12.7
Section expenses	(1.2)	-	(1.2)
Interest income (note 6)	5.6	(5.0)	0.6
Remeasurements:			
Return on plan assets, excluding amounts included in interest income	(12.6)	-	(12.6)
Changes in financial assumptions	-	11.9	11.9
Changes in demographic assumption	-	1.4	1.4
Experience adjustments on obligation	-	(0.5)	(0.5)
	(12.6)	12.8	0.2
Benefits paid	(8.2)	8.2	-
Pension scheme surplus at 31 March 2025	**120.4**	**(91.7)**	**12.3**

	Assets £m	Liabilities £m	Total £m
Pension scheme surplus at 1 April 2025	104.0	(91.7)	12.3
Section expenses	(0.6)	-	(0.6)
Interest income (note 6)	2.2	(1.4)	0.8
Settlement	(92.8)	92.8	-
Remeasurements:			
Return on plan assets, excluding amounts included in interest income	4.7	-	4.7
Changes in financial assumptions	-	(0.8)	(0.8)
Changes in demographic assumption	-	-	-
Experience adjustments on obligation	-	(1.2)	(1.2)
	4.7	(2.0)	2.7
Benefits paid	(2.3)	2.3	-
Pension scheme surplus at 31 March 2026	15.2	-	15.2

Total amount recognised on the statement of financial position:	**2026 £m**	2025 £m
Fair value of plan assets	15.2	104.0
Pension scheme obligation	-	(91.7)
Pension scheme surplus	15.2	12.3
Less: restriction of surplus	(3.8)	(3.1)
Net pension scheme surplus	11.4	9.2

10 RETIREMENT BENEFIT SURPLUS (continued)

In accordance with IAS19 'Employee Benefits' the value of the net pension scheme surplus that can be recognised in the statement of financial position is restricted to the present value of economic benefits available in the form of refunds from the scheme or reductions in future contributions. As defined under IFRIC 14, the Company believes that it has an unconditional right to a refund of surplus and that the gross pension surplus can be recognised.

This benefit is now only available as a refund. Under UK tax legislation a tax deduction of 25% (2025: 25%) is applied to a refund from a UK pension scheme, before it is passed to the employer. This tax deduction has been applied to restrict the value of the surplus recognised for this scheme. The process to wind-up the scheme is underway and the Trustee has indicated its intention to return the surplus to the Company. The remaining assets have been recognised as a current asset on the Statement of Financial Position.

Total cost recognised as (income)/ expense:

	2026	2025
	£m	£m
Interest income (note 6)	**(0.8)**	(0.6)
Section expenses	**0.6**	1.2
	(0.2)	0.6

The market value of the plan assets was:

	2026				2025			
	Quoted	**Unquoted**	**2026**	**%**	Quoted	Unquoted	2025	%
	£m	**£m**	**£m**		£m	£m	£m	
Liquidity funds	**-**	**14.6**	**14.6**	**96**	-	12.4	12.4	12
Insurance policy	**-**	**-**	**-**	**-**	-	91.2	91.2	88
Cash	**-**	**0.6**	**0.6**	4	-	0.4	0.4	-
	-	**15.2**	**15.2**	**100**	-	104.0	104.0	100

The return on the plan assets was:

	2026	2025
	£m	£m
Interest income	2.2	5.6
Remeasurements	4.7	(12.6)
Total return on plan assets	6.9	(7.0)

11 TRADE AND OTHER RECEIVABLES

Trade and other receivables comprise:

	2026	2025
	£m	£m
Amounts owed by group undertakings	**-**	0.8
	-	0.8

Amounts owed by group parties are unsecured, interest free and repayable on demand.

12 CASH AND CASH EQUIVALENTS

For the purpose of the statement of cash flow, cash and cash equivalents comprise the following:

	2026	2025
	£m	£m
Cash and cash equivalents	**1.7**	0.3
	1.7	0.3

13 BORROWINGS

	2026 £m	2025 £m
Irredeemable		
Debentures	**1.6**	1.6
8.75% irredeemable cumulative preference shares (note 16)	**12.5**	12.5
	14.1	14.1
Total	**14.1**	14.1

	Interest rate	Maturity	Total 2026 £m	Total 2025 £m
Non current loans and borrowings				
£1,405,218 Consolidated debentures	4.00%	irredeemable	**1.4**	1.4
£36,740 perpetual debentures	4.25%	irredeemable	**-**	-
£54,875 perpetual debentures	4.00%	irredeemable	**0.1**	0.1
£72,900 perpetual debentures	3.50%	irredeemable	**0.1**	0.1
£12,500,000 cumulative preference shares	8.75%	irredeemable	**12.5**	12.5
Total non- current loans and borrowings			**14.1**	14.1

14 TRADE AND OTHER PAYABLES

	2026 £m	2025 £m
Trade and other payables	**0.1**	0.1
	0.1	0.1

15 CALLED UP SHARE CAPITAL

Ordinary shares of £1 each issued and fully paid	**No.**	**£m**
As at 1 April 2025 and 31 March 2026	**5,988,025**	**6.0**

Preference shares of £1 each issued and fully paid	**No.**	**£m**
As at 1 April 2025 and 31 March 2026	**12,500,000**	**12.5**

The 8.75% irredeemable cumulative preference shares, which do not normally carry any voting rights, were issued in 1992 at £1 per share. Shareholders are entitled to receive dividends at 8.75% per annum on the par value of these shares on a cumulative basis; these dividends are payable half yearly on 1 April and 1 October. On winding up, the preference shareholders rank ahead of ordinary shareholders and are entitled to receive £1 per share and any dividends accrued but unpaid in respect of their shares. In the event that dividends on the preference shares are in arrears for six months or more, holders of the preference shares become entitled to vote at general meetings of members.

The authorised preference share capital consists of 14,000,000 8.75% irredeemable cumulative preference shares of £1 each.

The preference shares are classified as liabilities in the balance sheet.

16 FINANCIAL INSTRUMENTS

Fair value estimation

The fair values of the cash deposits, other receivables, trade creditors and other payables with a maturity of less than one year are assessed to approximate to their book values.

The fair value of loan notes issued by SWW with a maturity of over one year are assessed to approximate to their book values.

The fair value of the Company's debentures and preference shares have been calculated by discounting the expected cash flows at prevailing market rates including an estimated margin over gilts.

Fair values of financial assets and financial liabilities

Although the Company does not intend to trade in any financial instruments, the following tables provide a comparison, by category, of the carrying amounts and the fair value of the Company's financial assets and financial liabilities. Where available, market values have been used to determine fair values. Where market values are not available, fair values have been calculated by discounting expected cashflows at the Company's current incremental borrowing rates for borrowings of similar types and maturities.

Fair values of non-current financial assets and liabilities

	31 March 2026		31 March 2025	
	Carrying value	**Fair value**	Carrying value	Fair value
	£m	**£m**	£m	£m
Non-current financial liabilities				
Long-term borrowings	**(1.6)**	**(1.2)**	(1.6)	(1.2)
8.75% irredeemable cumulative preference shares	**(12.5)**	**(17.4)**	(12.5)	(18.5)
Non-current financial assets				
Intergroup receivables	**26.6**	**26.6**	26.6	26.6
	12.5	**8.0**	12.5	6.9

Financial risk factors

The Company's main financial instruments comprise:

- borrowings and cash;
- 8.75% irredeemable cumulative preference shares; and
- Intercompany receivables.

The Board is responsible for setting the financial risk management policies applied by the Company. The policies are implemented by the treasury department. The treasury department has a policies and procedures manual that sets out specific guidelines to manage interest rate risk, credit risk and the use of financial instruments to manage these risks.

17 FINANCIAL RISK MANAGEMENT

(a) Interest rate risk of financial assets

The financial assets include cash at bank which are all denominated in sterling. During the year cash was placed with banks for either a fixed term or repayable on demand, earning interest at market rates. As at 31 March 2026 and 31 March 2025 there was also loan notes, totalling £26.6m, issued by SWW on 1 February 2023.

(b) Interest rate risk and inflation risk of financial liabilities

The financial liabilities consist of debentures and 8.75% irredeemable cumulative preference shares.

At the year-end, 100% (2025: 100%) of the Company's gross financial liabilities were at fixed rates.

(c) Credit risk

The maximum exposure to credit risk is represented by the carrying amount of each financial asset in the balance sheet. At 31 March 2026 and 2025, the maximum exposure to credit risk was as follows:

	2026	2025
	£m	£m
Cash and cash equivalents	**1.7**	0.3
Trade and other receivables	**-**	0.8
Other receivables	**26.6**	26.6
	28.3	27.7

(d) Liquidity risk

The Company's obligations to the preference shares and debentures will be met from matching intra-group contracted assets and related receipts. The Company has received confirmation from Pennon Group plc that it will provide support to the Company should it be required, to meet its liabilities as they fall due for the foreseeable future.

18 COMMITMENTS

The Company had no commitments at 31 March 2026 (2024/25: £nil).

20 ULTIMATE PARENT COMPANY AND CONTROLLING PARTY

As at 31 March 2025 and 31 March 2026 the immediate parent company for this entity was SWW.

As at 31 March 2025 and 31 March 2026 the Directors considered the ultimate parent and controlling party to be Pennon Group plc.

The smallest and largest group in which the Company is consolidated is Pennon Group plc which is registered in England and copies of its consolidated annual report and accounts are available from Peninsula House, Rydon Lane, Exeter, Devon, England, EX2 7HR.

21 RELATED PARTY TRANSACTIONS

Throughout the year, related parties included members and joint ventures of the Pennon Group plc group of companies and key management personnel.

The Company has taken advantage of the exemptions with FRS 101 and not disclosed transactions with other wholly owned group undertakings.

REPORT OF THE INDEPENDENT AUDITOR TO THE MEMBERS OF BRISTOL WATER PLC

Opinion

We have audited the financial statements of Bristol Water Plc ('the Company') for the year ended 31 March 2026 which comprise the income statement, the statement of comprehensive income, the statement of financial position, the statement of changes in equity and notes to the financial statements, including a summary of material accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards including FRS 101 "Reduced Disclosure Framework (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 March 2026 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard as applied to listed entities, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Our approach to the audit

We performed a full scope audit of the Company's financial statements.

As part of designing our audit, we determined materiality and assessed the risks of material misstatement in the financial statements. In particular, we looked at where the Directors made subjective judgements, for example in respect of significant accounting estimates that involved making assumptions and considering future events that are inherently uncertain. We also addressed the risk of management override of internal controls, including evaluating whether there was evidence of bias by the directors that represented a risk of material misstatement.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period and include the most significant assessed risks of material misstatement (whether or not due to fraud) we identified, including those which had the greatest effect on the overall audit strategy, the allocation of resources in the audit and directing the efforts of the engagement team.

These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the key audit matter
Defined benefit pension scheme The defined benefit scheme (Bristol Water Section) is assessed under International Accounting Standards (IAS) 19 'Employee Benefits'. During the period, a significant structural change occurred: the scheme's defined benefit liabilities were fully discharged through the assignment of individual annuity policies to members on 11 July 2025. Consequently, the nature of the audit risk has shifted. While the valuation required a high degree of judgement regarding actuarial assumptions (such as duration, discount rates, and inflation) to remeasure the liabilities precisely at the 11 July 2025 settlement date, there is no longer an ongoing liability to value at year-end. Therefore, the most significant risks of material misstatement for the year ended 31 March 2026 now relate to the verification of the remaining residual asset values, and the legal and accounting judgement that the Company has an unconditional right to recognise the remaining surplus in full on its balance sheet. As at 31 March 2026, the defined benefit scheme outlines a net surplus of £11.4m (£3.8m tax restricted). Because all obligations were settled during the year, this final balance comprises a defined benefit obligation ("DBO") of £nil and assets measured at market value of £15.2m.	We liaised with management to assess the current schemes disclosed in the year and reviewed if an appropriate approach in line with IAS19 'Employee Benefits' had been taken and the related criteria required to ensure all the relevant aspects are met and disclosed; We obtained and reviewed the actuarial reports that were prepared by a management's specialist to ensure that these are compliant with IAS 19 and related criteria; We have used our own independent specialist to assess and provide an opinion in respect of the key assumptions and models that have been considered by the actuary in order to determine the obligations that existed as at 11 July 2025 and the present value of the defined benefit surplus reported at the end of the reporting period; We have enquired from management, where required, to document and obtain further insight in terms of the key assumptions disclosed by the actuary; We have verified the assets and liabilities, that are included and disclosed in the schemes, against third party investment management report; and We have reviewed the actuary reports in line with the figures, details and information disclosed in financial statements to ensure that there are no discrepancies.

Our application of materiality

The scope of our audit was influenced by our application of materiality. We set certain quantitative thresholds for materiality. These, together with qualitative considerations, helped us to determine the scope of our audit and the nature, timing and extent of our audit procedures on the individual financial statement line items and disclosures and in evaluating the effect of misstatements, both individually and in aggregate on the financial statements as a whole.

Based on our professional judgment, we determined materiality for the financial statements as a whole as follows:

	Company
Overall materiality	£502,000 (2025: £460,000)
How we determined it	Based on 2% of net assets (2025:2% of net assets)
Rationale for benchmark used	We believe that net assets provide us with an appropriate and generally accepted benchmark for materiality for a company holding listed debt where the lenders to the company are focused on the ability of the company to repay back the loan and debt service costs.

We set performance materiality at an amount less than materiality for the financial statements as a whole to reduce to an appropriately low level the probability that the aggregate of uncorrected and undetected misstatements exceeds materiality for the financial statements as a whole. Performance materiality was set at £377,000 (2025: £230,000).

We agreed with the Audit Committee that we would report to them misstatements identified during our audit above £25,100 (2025: £23,000) as well as misstatements below this amount that, in our view, warranted reporting for qualitative reasons.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate. Our evaluation of the Directors' assessment of the entity's ability to continue to adopt the going concern basis of accounting included the following procedures;

- The company has received confirmation from its ultimate parent company that it will provided support should it be required for a period of 12 months from the date the financial statements are authorised for issue.
- We have obtained evidence from the ultimate parent company with regards to the ability to support the company should it be required, for a period of 12 months from the date the financial statements are authorised for issue.
- We have reviewed the company's going concern disclosures included in the annual report to assess whether the disclosures were appropriate and in conformity with the reporting standards.
- We have also evaluated management's alternative funding strategies to support the Company's ability to sustain operations for at least twelve months from the date of approval of these financial statements.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for a period of at least twelve months from when the financial statements were authorised for issue.

Our responsibilities and the responsibilities of the Directors with respect to going concern are described in the relevant sections of this report.

Other information

The Directors are responsible for the other information. The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report, the statement of directors' responsibilities and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report, the statement of directors' responsibilities and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the Company, or returns adequate for our audit have not been received from branches not visited by us; or
- the Company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of Directors

As explained more fully in the Statement of Directors' Responsibilities set out on page 8, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

The extent to which the audit was considered capable of detecting irregularities including fraud

Our approach to identifying and assessing the risks of material misstatement in respect of irregularities, including fraud and non-compliance with laws and regulations, was as follows:

- the senior statutory auditor ensured the engagement team collectively had the appropriate competence, capabilities and skills to identify or recognise non-compliance with applicable laws and regulations;
- we identified the laws and regulations applicable to the Company through discussions with directors and other management.

- we focused on specific laws and regulations which we considered may have a direct material effect on the financial statements or the operations of the Company including UK taxation legislation, UK listing Rules, Financial Reporting Council (FRC) and the UK Corporate Governance Code and the Companies Act 2006.
- we assessed the extent of compliance with the laws and regulations identified above through making enquiries of management and inspecting legal correspondence.
- identified laws and regulations were communicated within the audit team regularly and the team remained alert to instances of non-compliance throughout the audit; and
- we assessed the susceptibility of the Company financial statements to material misstatement, including obtaining an understanding of how fraud might occur, by:
    - making enquiries of management as to where they considered there was susceptibility to fraud, their knowledge of actual, suspected and alleged fraud;
    - considering the internal controls in place to mitigate risks of fraud and non-compliance with laws and regulations.

To address the risk of fraud through management bias and override of controls, we:

- performed analytical procedures to identify any unusual or unexpected relationships;
- tested journal entries to identify unusual transactions;
- assessed whether judgements and assumptions made in determining the accounting estimates set out in the notes to the financial statements were indicative of potential bias;
- investigated the rationale behind significant or unusual transactions.
- In response to the risk of irregularities and non-compliance with laws and regulations, we designed procedures which included, but were not limited to:
    - agreeing financial statement disclosures to underlying supporting documentation;
    - reading the minutes of meetings of those charged with governance;
    - enquiring of management as to actual and potential litigation and claims;
    - reviewing the available correspondence with HMRC and the Company's legal advisors.

There are inherent limitations in our audit procedures described above. The more removed that laws and regulations are from financial transactions, the less likely it is that we would become aware of noncompliance. Auditing standards also limit the audit procedures required to identify non-compliance with laws and regulations to enquiry of the directors and other management and the inspection of regulatory and legal correspondence, if any.

Material misstatements that arise due to fraud can be harder to detect than those that arise from error as they may involve deliberate concealment or collusion.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: http://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Other matters we are required to address

- Following the decision by the shareholders at the Annual General Meeting on 21st July 2025 we were reappointed to audit the financial statements for the year ended 31st March 2026.
- The period of total uninterrupted engagement including previous renewals and reappointments is 2 years covering the year ended 31st March 2026.
- The non-audit services prohibited by the FRC's Ethical Standard were not provided to the company and we remain independent of the company in conducting the audit.

- The audit opinion is consistent with the additional report communicated to the board of directors.

Use of this report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Daniel Rose (Senior Statutory Auditor)
For and on behalf of Gravita Audit II Limited

Chartered Accountants
Statutory Auditor
Aldgate Tower
2 Leman Street
London
E1 8FA